

RBI Master Direction on Know Your Customer (KYC)

Condensed Working Summary — Key Provisions for Practitioners & Students

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This document is an independent, paraphrased summary prepared for quick reference and study. It is not a substitute for the official Master Direction published by the Reserve Bank of India, which should be consulted for the authoritative text and full legal detail.

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1. Purpose & Legal Basis

The Master Direction exists to stop banks and other regulated financial entities from being used as channels for money laundering or terrorist financing, and to protect the integrity of the financial system. It draws its authority from a combination of statutes — principally the Prevention of Money-Laundering Act (PMLA), 2002 and its Maintenance of Records Rules, 2005, along with powers under the Banking Regulation Act, 1949, the RBI Act, 1934, the Payment and Settlement Systems Act, 2007, and FEMA, 1999. It also reflects India's commitments as a member of the Financial Action Task Force (FATF), the global standard-setter for anti-money-laundering (AML) and countering-financing-of-terrorism (CFT) norms.

2. Applicability & Key Definitions

The rules bind every entity regulated by the RBI — referred to collectively as Regulated Entities (REs). This covers scheduled commercial banks, regional rural banks, co-operative banks, All-India Financial Institutions, NBFCs, Asset Reconstruction Companies, payment system providers/prepaid instrument issuers, and authorised money-transfer agents. Overseas branches and subsidiaries of Indian REs must also comply, adopting whichever of the Indian or host-country standard is stricter, subject to local law.

Definitions worth remembering

- **Beneficial Owner (BO):** the real natural person who ultimately owns or controls a customer entity — generally someone holding more than 10% of a company or partnership (15% for unincorporated associations), or exercising control through other means.
- **CDD (Customer Due Diligence):** identifying and verifying a customer and any beneficial owner through reliable, independent sources, and understanding the purpose of the relationship.
- **Officially Valid Document (OVD):** passport, driving licence, proof of Aadhaar possession, Voter ID, NREGA job card, or an NPR letter with name and address.
- **Principal Officer / Designated Director:** senior personnel an RE must formally nominate to own AML/CFT compliance; the two roles cannot be held by the same person.
- **Small Account:** a simplified savings account for individuals lacking full KYC documents, subject to strict caps on credits, withdrawals, and balance.
- **V-CIP:** Video-based Customer Identification Process — a remote, live audio-video verification method treated as equivalent to in-person verification when done to prescribed standards.

3. The Four Pillars of a KYC Policy

Every RE must have a Board-approved KYC policy built on four elements:

- Customer Acceptance Policy
- Risk Management
- Customer Identification Procedures (CIP)
- Ongoing Monitoring of Transactions

REs must also periodically carry out a formal Money-Laundering/Terrorist-Financing risk assessment covering clients, geographies, products, and delivery channels, review it at least annually, and apply a proportionate Risk-Based Approach (RBA) to due diligence.

4. Customer Acceptance Policy

The policy must ensure, among other things, that:

- No account is opened anonymously or in a fictitious/benami name.

- No relationship is established where adequate CDD cannot be completed — non-cooperation or unreliable documentation should trigger consideration of a Suspicious Transaction Report (STR) rather than account opening.
- CDD is applied at the Unique Customer Identification Code (UCIC) level, so an existing KYC-compliant customer does not need to repeat identity verification for a new product with the same RE.
- PAN and GST details, where obtained, are verified against the issuing authority's own database.
- Acceptance policies never result in denial of banking services to financially or socially disadvantaged individuals, including persons with disabilities; any rejection must be reasoned and recorded.
- If suspicion of laundering arises and pursuing CDD would 'tip off' the customer, the RE should skip CDD and file an STR with FIU-IND instead.

5. Risk Management & Risk Categorisation

REs must classify customers as low, medium, or high risk, based on factors such as identity, occupation and financial profile, geography, the nature of products/services used, and delivery channel. The risk category assigned to a specific customer must be kept confidential from that customer to avoid tipping off. Review of risk categorisation must happen at least every six months, with higher-risk customers subjected to closer, more frequent monitoring.

6. Customer Identification Procedure (CIP)

Identification is mandatory when: opening an account-based relationship; conducting an international money transfer for a non-account holder; there is doubt about previously obtained identity data; selling third-party products or reloading prepaid/travel cards above ₹50,000; handling a walk-in transaction of ₹50,000 or more (single or linked transactions); or where an RE suspects a customer is deliberately splitting a transaction to dodge the ₹50,000 threshold. REs may rely on CDD already performed by a regulated third party, subject to conditions, but ultimate responsibility always stays with the RE itself.

7. Customer Due Diligence (CDD) — Individuals & Entities

Individuals

For individuals, REs must obtain the Aadhaar number (where applicable) or proof of Aadhaar possession, or an OVD, or a KYC Identifier for retrieval from the Central KYC Records Registry (CKYCR) — together with PAN or Form 60. Aadhaar-OTP-based e-KYC in non-face-to-face mode is permitted but comes with caps: aggregate deposit balance up to ₹1 lakh, aggregate annual credits up to ₹2 lakh, term loans up to ₹60,000/year, and a requirement to complete full CDD within a year or the account is closed/restricted.

Sole Proprietorships

CDD of the individual proprietor is carried out, plus at least two independent documents evidencing the business (e.g., GST/registration certificate, tax returns, shop-establishment licence). Where only one document is available, the RE may accept it if it independently verifies the business through contact-point verification.

Companies, Partnerships, Trusts & Other Legal Entities

Certified copies of constitutional documents are required — certificate of incorporation/registration, MOA/AOA or partnership/trust deed, PAN, board resolutions or powers of attorney authorising signatories, and identification of beneficial owners, senior managers, and the registered office/principal place of business.

Beneficial Owner Identification

For non-natural-person customers, REs must identify and verify beneficial owners using the thresholds noted earlier (Section 2), except for entities already listed on a recognised stock exchange (or their subsidiaries), where BO verification is not required.

Ongoing Due Diligence

REs must continuously monitor transactions for consistency with a customer's known profile. Particular attention is required for large/complex transactions with no clear economic rationale, transactions crossing category thresholds, unusually high account turnover, and third-party cheque deposits followed by large cash withdrawals. Use of AI/ML tools for monitoring is explicitly encouraged.

8. Video-based Customer Identification Process (V-CIP)

V-CIP lets REs onboard individual customers, proprietors, and authorised signatories/beneficial owners of legal entities remotely, through a live, consent-based audio-video interaction, treated as equivalent to face-to-face verification when done correctly. Key safeguards include: infrastructure hosted on the RE's own secured domain (cloud allowed only if the RE retains full data ownership); end-to-end encryption; blocking of non-Indian or spoofed IP addresses; geo-tagged, timestamped video with liveness/face-match checks; varied questioning to rule out pre-recorded sessions; mandatory concurrent audit of all V-CIP-opened accounts; and India-based storage of all recordings and data.

9. Enhanced & Simplified Due Diligence

Enhanced Due Diligence (EDD)

- Non-face-to-face onboarding (outside V-CIP/OTP-KYC categories) requires positive confirmation of address, PAN verification, restriction of OTPs to the original registered mobile number, the first transaction being a credit from an existing KYC-verified account, and treatment as high-risk with enhanced monitoring until in-person or V-CIP verification is completed.
- Politically Exposed Persons (PEPs) and their close family/associates need senior-management approval to onboard, a documented source-of-funds check, and ongoing enhanced monitoring.

- Client accounts opened through professional intermediaries require identification of underlying beneficial owners unless the intermediary itself is a regulated, supervised entity with adequate CDD systems — though the RE always retains ultimate responsibility.

Simplified Due Diligence (SDD)

- Self-Help Groups (SHGs): full CDD is required only for office bearers, not every member, at account opening; member-level CDD is deferred to the credit-linking stage.
- Foreign students: an NRO account may be opened on the strength of passport, visa, and an admission letter, with local address verified within 30 days and interim remittance/balance caps in force.
- Foreign Portfolio Investors (FPIs): simplified documentation is permitted, subject to FATCA/CRS rules.

10. Periodic Updation of KYC

REs must refresh KYC data on a fixed cycle geared to risk: at least once every two years for high-risk customers, eight years for medium-risk, and ten years for low-risk customers. Where there is no change in information, a self-declaration via registered channels (email, mobile, ATM, net/mobile banking, or letter) suffices; a change of address needs positive confirmation within two months. REs must send at least three advance reminders (including one by letter) before the due date, and at least three more afterward if the customer has not complied. For legal-entity customers, any change in KYC information triggers a process equivalent to onboarding a new customer.

11. Record Management

- Transaction records must be preserved for at least five years from the date of the transaction.
- Customer identification records must be preserved for at least five years after the business relationship ends.
- Records must be retrievable swiftly and made available to competent authorities on request.
- Records must allow reconstruction of individual transactions — nature, amount, currency, date, and parties involved.

12. Reporting to Financial Intelligence Unit-India (FIU-IND)

REs must file the formats prescribed under the PML Rules — chiefly Cash Transaction Reports (CTRs) and Suspicious Transaction Reports (STRs) — using FIU-IND's utilities where in-house systems are not yet automated. Delay in filing, or in correcting a misreported transaction, is treated as a distinct violation for each day of delay. Filing an STR must never itself become grounds for restricting a customer's account operations, and the fact of a filing is strictly confidential.

13. International Obligations — Sanctions Screening

REs must ensure no account exists in the name of any individual or entity on UN Security Council sanctions lists (e.g., the ISIL/Al-Qaida list and the Taliban list under UNSC resolutions), checked daily, with matches reported to FIU-IND and the Ministry of Home Affairs under the Unlawful Activities (Prevention) Act, 1967. Similar obligations apply under the Weapons of Mass Destruction Act, 2005, and the UNSCR 1718 list relating to North Korea. REs must apply enhanced due diligence for counterparties from jurisdictions that FATF identifies as having weak AML/CFT controls.

14. Other Instructions & Recent Amendments

- **Secrecy:** customer information is confidential and can only be disclosed under compulsion of law, public-interest duty, the RE's own legitimate interest, or the customer's consent.
- **CKYCR:** KYC records for individuals and legal entities must be uploaded to the Central KYC Records Registry (operated by CERSAI) within prescribed timelines, and REs must retrieve/update records via the KYC Identifier rather than repeating full CDD unnecessarily.
- **Money mules:** banks must actively monitor for accounts used to launder fraud proceeds (e.g., phishing) and report suspicious patterns to FIU-IND.
- **2025 amendments** refined several areas: UCIC-level CDD language, clarified 'updation' vs 'periodic updation' terminology, extended relief for low-risk individual customers' periodic KYC updation (allowed until the later of one year past due date or June 30, 2026), and tightened requirements around advance/reminder notices for periodic updation (effective by January 1, 2026).